

**1.**

Apple sells iPhones and iPads at considerably lower prices in the USA than in the UK market, but sources the products from the same factories in the Far East.

Explain why firms, such as Apple, might be able to charge different prices for the same product in different markets.

[15 marks]**2.**

Distinguish between price elasticity of demand and income elasticity of demand, **and** analyse why, when people have medical insurance, the price elasticity of demand for medical treatment might be 'very low' while the income elasticity of demand is 'likely to be high' (**The European Union Context Extract E**, lines 22 to 24).

[9 marks]**3.**

Which one of the following situations would lead to an increase in equilibrium price?

- A** Demand is perfectly inelastic and labour costs rise ☐
- B** Demand is perfectly elastic and labour costs rise ☐
- C** Supply is perfectly elastic and the price of a substitute good falls ☐
- D** Demand is perfectly inelastic and labour costs fall ☐

[1 mark]**4.**

In recent years, the EU has decided that the agricultural sector must become 'more responsive to market forces' (**The European Union Context Extract F**, line 12).

Using the data and your economic knowledge, discuss whether UK farming would benefit from greater responsiveness to market forces and less intervention by the UK government and the EU.

[25 marks]

**5.****THE EUROPEAN UNION CONTEXT****Extract E: The price of health**

The European Health Insurance Card (EHIC) is issued free to EU citizens via national governments. It allows anyone entitled to state health care in their home country to receive basic medical treatment in another member state for free or at a reduced cost.	1
While there is no charge for the EHIC, insurance-based health care systems generally involve the purchase of a policy from a company which then pays for treatment for people whose medical conditions are covered.	5
The UK's National Health Service (NHS) is predominantly in the public sector and is mostly paid for out of taxation. Treatment is 'universal', available to all UK citizens, and usually to visitors as well. While there are some treatments for which charges might be made, for example, for some dental work and spectacles, a guiding principle of the founders of the NHS was that treatment should be based on 'need' rather than 'ability to pay', and provided 'free at the point of use'. In the UK there is also a private sector consisting of hospitals and other facilities. They mostly work with commercial health insurance companies, but they can undertake some work on contract for the NHS.	10
In Germany, private health care is used approximately twice as much by patients as it is in the UK, but this does not necessarily mean that patients pay directly for their treatment. Roughly one-third of German hospitals are owned by the state, another third are not-for-profit organisations and the remaining third are in the private sector. German citizens can use any hospital in the system.	15
The founders of the NHS thought that its costs would fall as living standards rose and the population became healthier. However, when the state or an insurance company acts between the patient and the health provider, the patient's price elasticity of demand for medical treatment is likely to be very low, while income elasticity of demand is likely to be high. Costs have increased due to these unusual elasticities, together with new drugs, more sophisticated medical technology, a wider range of treatments, more complex procedures and increased life expectancy.	20
	25

6.

Small, independent coffee shops face competition from large multinational companies with well-promoted brands. In the High Street of a major British city, one such independent business advertises in the following way:

'Cappuccino or Pot of Tea: £1.19 before 12 noon; £1.39 during lunch time (12 – 2.30 pm); and only 99p after 2.30 pm.'

Explain how such a pricing strategy is influenced by price elasticities of demand, revenues and costs.

[15 marks]



7.

Traditional economic theory assumes that consumers make rational decisions that maximise their economic welfare, but behavioural economists disagree.

The Government would like to improve the well-being of the population by encouraging people to adopt a healthy diet. Using your knowledge of **both** traditional economic theory **and** behavioural economics, assess alternative policies that the Government might adopt to try to achieve its objective

[25 marks]

8.

THE EUROPEAN UNION CONTEXT

Extract F: The EU milk market

Over recent decades, the governments of most industrialised countries have intervened in their agricultural markets to offer support through subsidies and other measures. In Europe, agriculture employs less than 5% of the workforce, while agricultural intervention has traditionally taken about 50% of the EU budget. 1

Aimed at limiting state spending on the dairy sector, controlling milk production, and stabilising both milk prices and producer incomes, the EU introduced a milk quota system in 1984 as part of the Common Agricultural Policy (CAP). Milk quotas place a limit on the amount of milk that a farmer can sell every year without paying a 'levy' or penalty to the EU. The CAP has forced dairy farmers to work below capacity and even to dump milk, damaging the EU's reputation for economic efficiency. 5 10

The EU plans to end milk quotas in 2015 and wants agriculture to be less influenced by government intervention and more responsive to market forces. As quotas are removed, farms might be expected to become fewer, larger and more intensive. In Spain, for example, the industry has been allowed three times as much milk output since 1993, while the number of dairy farms has fallen drastically and productivity has risen. Meanwhile, like the UK government, the Spanish government has intervened to try to negotiate new pricing contracts between farmers, food processors and retailers. There is always a risk that government intervention in such negotiations in any market can adversely affect efficiency. 15

Sources: news reports and government information, 2012

9.

When a firm increases the price of its product from £50 to £55, the total revenue generated increases from £10,000 to £11,000. Over this price range, the price elasticity of demand for the product is

A elastic.

☐

B unit elastic.

☐

C inelastic.

☐

D perfectly inelastic.

☐

[1 mark]

**10.**

All other things being equal, a rise in which one of the following would shift an economy's short-run aggregate supply curve to the left?

- A Wage rates ☐
- B Imports of consumer goods ☐
- C The money supply ☐
- D Labour productivity ☐

[1 mark]**11.**

Inferior goods always have a

- A positive price elasticity of demand. ☐
- B negative income elasticity of demand. ☐
- C positive cross elasticity of demand. ☐
- D negative price elasticity of supply. ☐

[1 mark]**12.**

If the price elasticity of supply of a good is +4.0 and its price increases by 10%, the increase in quantity supplied is

- A 0.4% ☐
- B 2.5% ☐
- C 25% ☐
- D 40% ☐

[1 mark]**13.**

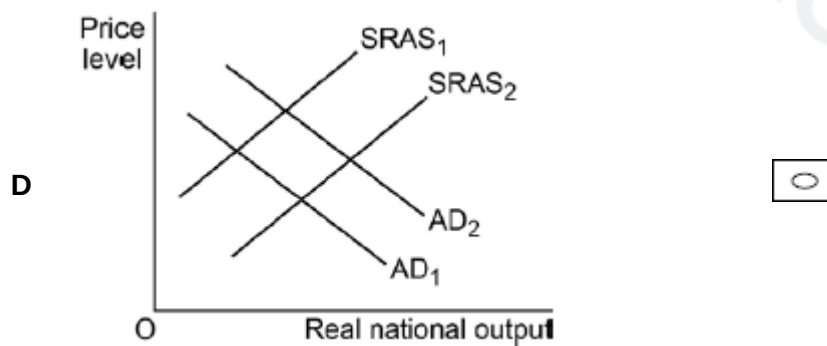
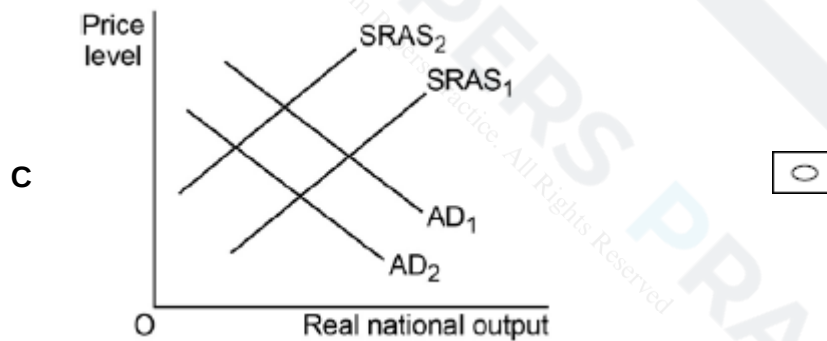
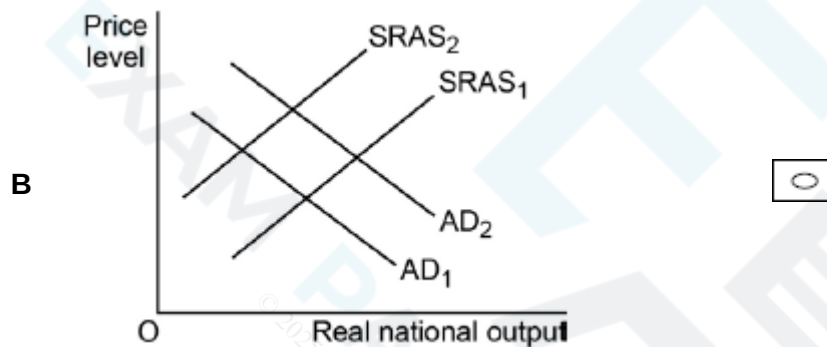
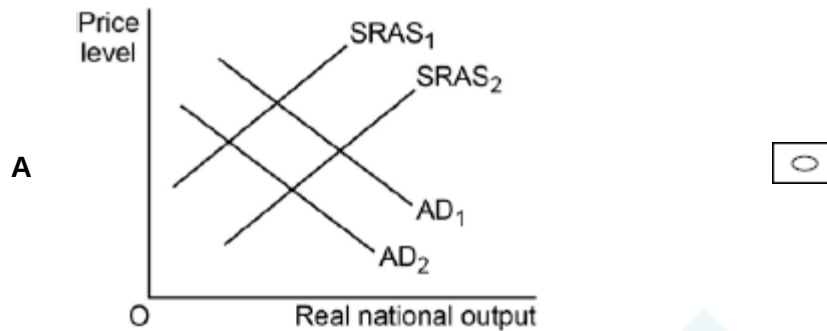
In 2013, two key aims of the UK Government were: to move the budget deficit towards a surplus over the course of the Parliament and to ensure that the main burden of deficit reduction would be through reduced government spending, rather than increased taxation.

Explain the possible demand-side consequences of an increase in taxation in the UK.

[15 marks]

14.

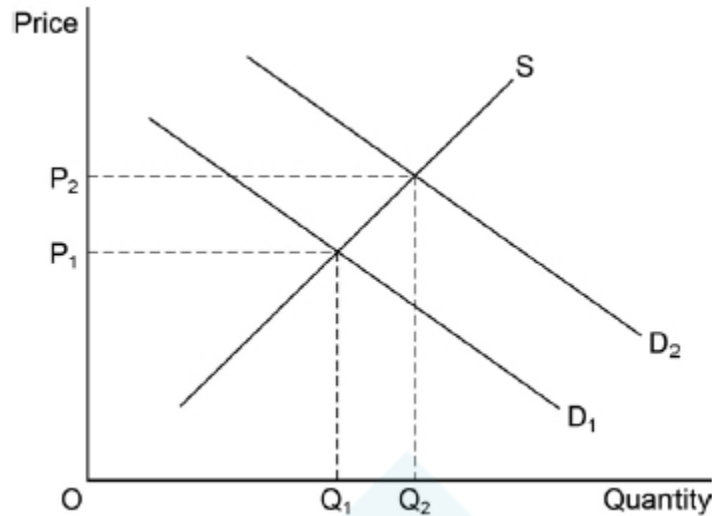
The four diagrams below show aggregate demand (AD) and short-run aggregate supply (SRAS) curves for the UK economy. All other things being equal, which one of the diagrams **A**, **B**, **C** or **D** shows the most likely effects of an increase in raw material prices and an increase in income taxes on consumers?



[1 mark]

15.

The diagram below shows the market demand and supply curves for electric light bulbs.



Assuming that electric light bulbs are a normal good, the shift in the demand curve from D_1 to D_2 and the rise in the equilibrium price from P_1 and P_2 can be explained by

- A an increase in household incomes.
- B an increase in the price of electricity.
- C a decrease in the rate of value added tax (VAT) on light bulbs.
- D the introduction of a government subsidy to the producers of light bulbs.

☐
☐
☐
☐

[1 mark]

16.

It is generally accepted that we need to adopt new ways of charging for the use of our roads. This is partly because of worsening congestion, but is also due to the reduction in revenue generated from taxes on fuels as a result of more fuel-efficient vehicles.

Assess the view that a system of road-pricing is the best way to tackle the problem of worsening traffic congestion in the UK.

[25 marks]

17.

International trade Extract B (lines 12–13) states ‘The Government last night released research suggesting a US-EU agreement sweeping away trade barriers would particularly benefit the automotive, financial and chemical sectors.’

With the help of a diagram, explain the extent to which the removal of a tariff might affect the volume of imports into the UK.

[9 marks]

18.

International trade

Extract B: Transatlantic free trade?

David Cameron today confronted his critics by making the positive case for continuing European Union membership as he held talks with President Barack Obama over a giant US-EU trade deal that could provide a £10bn annual boost to the UK economy.	1
With his party in renewed turmoil over Europe, the Prime Minister sought to reassure the White House (where senior figures in the Obama administration have insisted they regard the UK as a crucial member of the union) that the UK are not looking to leave the EU.	5
The planned agreement would establish a free trade area between the world's two largest trading blocs, creating a transatlantic market of 800 million consumers.	
Writing in today's Wall Street Journal, Mr Cameron says: "This deal could add as much as £10bn to the UK economy and £63bn to US GDP. But the rest of the world would benefit too, with gains that could generate €100bn (£84bn) worldwide".	10
The Government last night released research suggesting a US-EU agreement sweeping away trade barriers would particularly benefit the automotive, financial and chemical sectors. It claimed the deal could be worth £380 a year for each British family.	
Karel de Gucht, the European Commissioner for Trade, has cited the deal as a prime reason for the UK staying in the EU, telling The Independent last week that it would be "clear madness" for the UK to leave in light of such a deal.	15

19.

Apple sells iPhones and iPads at considerably lower prices in the USA than in the UK market, but sources the products from the same factories in the Far East.

Discuss the view that price discrimination only benefits suppliers, such as Apple.

[25 marks]

20.

It is generally accepted that we need to adopt new ways of charging for the use of our roads. This is partly because of worsening congestion, but is also due to the reduction in revenue generated from taxes on fuels as a result of more fuel-efficient vehicles.

Explain why, in the absence of government intervention, too many journeys are likely to be made by road and too few by rail.

[15 marks]